but his judgement seemed to desert him when it came to encashing them for profits.

'For some reason, selling is anathema to him,' I have heard many a close associate of Harshad say.

Ketan had no such qualms. If the trend was bearish, he would not hesitate to sell a stock short. But there was one thing Ketan had in common with Harshad: he too could lose all sense of proportion. As the bull market progressed, Ketan would become increasingly reckless, and eventually pay for his hubris.

Helping Ketan's cause was the changed outlook towards stock valuation that rejected conventional parameters. Globally, stock markets were split down the middle. On one side were the new-economy stocks, comprising companies from the technology, media and telecom (TMT), or the information technology, communication and entertainment (ICE) space. On the other side were the old-economy stocks, also known as the brick-and-mortar companies, comprising the rest of the sectors.

The traditional yardstick of price-to-earnings (PE) multiple for valuing a stock was now considered irrelevant as far as new-economy stocks were concerned. For one, most IT companies were flush with Y2K-related orders from the West, and were logging strong growth quarter after quarter. It was felt that these growth rates could be indefinitely sustained. Another rosy view of the knowledge economy held that unlike their brick-and-mortar counterparts, which had to invest in plant and machinery to increase output, technology firms could easily scale up their operations by simply adding more people. The truth was, nobody knew how to value these companies because there was no precedent.

By the time the curtain fell on 1998, shares of most of the IT companies had risen three-to-five-fold during the year. Because of my misgivings about the sector, I had missed an opportunity to make some good money. I occasionally punted in a few IT stocks, but lacked the confidence to take big positions because of their steep price rise. I decided to become a convert and embrace the technology faith, but I did not have the conviction necessary for it. I conferred with GB and Monk on the matter.

Both were not very sure themselves about how long the party in technology stocks would last. But, as usual, GB had his own interesting take on the trend.